



Policy on Identification of Material Creditors and Material Litigations

1. Purpose

The purpose of this policy is to:

- Establish criteria for identifying material creditors.
- Define thresholds for material litigations.
- Ensure accurate and consistent disclosure of significant financial and legal exposures.

2. Scope

This policy applies to:

- ❖ The Company and its subsidiaries (if applicable).
- ❖ All disclosures made in financial statements, offer documents, and regulatory filings.

3. Definitions

3.1 Material Creditors

Creditors shall be considered material if the outstanding amount due to them exceeds a predefined threshold (as defined below).

3.2 Material Litigations

Litigations shall be considered material if their impact could significantly affect:

- Financial position
- Reputation
- Business operations

4. Criteria for Identification of Material Creditors

A creditor shall be classified as a material creditor if:

The amount due to such creditor exceeds 10% of total trade payables as per the latest audited financial statements; OR

PROGEN RENEWABLES LIMITED

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CIN : U31909TZ2017PLC029803



+91 422 2536886
+91 96004 45572

www.progenrenewables.com
info@progenrenewables.com



Any other threshold approved by the Board or Audit Committee.

Exclusions

Statutory dues (e.g., GST, income tax) are typically excluded unless specifically required.

Group/inter-company transactions may be excluded based on internal guidelines.

5. Criteria for Identification of Material Litigations

Litigations involving the Company shall be considered material if:

5.1 Quantitative Criteria

The disputed amount exceeds:

- A certain percentage of net worth (e.g., 1% or 5%), OR
- A fixed monetary threshold (e.g., ₹1 crore, ₹5 crore — as defined by the Company).

5.2 Qualitative Criteria

Irrespective of amount, litigations may be treated as material if they involve:

- ❖ Criminal proceedings
- ❖ Regulatory or statutory violations
- ❖ Matters impacting going concern status
- ❖ Environmental or social impact issues
- ❖ Reputational risk
- ❖ Key managerial personnel

6. Responsibility

Finance Department:

- Identify and report material creditors.
- Legal/Compliance Department:
- Identify and monitor litigations.
- Audit Committee / Board:
- Approve thresholds and review disclosures.

7. Disclosure Requirements

The Company shall disclose:

List of material creditors along with outstanding amounts.

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Details of material litigations, including:

- ❖ Nature of dispute
- ❖ Amount involved
- ❖ Current status

Disclosures shall be made in:

- Financial statements
- Annual reports
- Offer documents (if applicable)

8. Review of Policy

- ❖ This policy shall be reviewed periodically (at least annually).
- ❖ Any changes shall be approved by the Board of Directors.

9. Amendments

The Board reserves the right to amend this policy in line with:

- Regulatory requirements
- Industry practice

10. Effective Date

This policy shall be effective from the date of approval by the Board.

For Progen Renewables Limited



Alfred Vinod Antony
Managing Director
DIN: 02776734

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